

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

W.P No.67112 of 2021

Ghazi Fabrics International Ltd. & 34 others

Versus

Federation of Pakistan & others

J U D G M E N T

Date of Hearing.	11-10-2022
PETITIONERS BY:	M/s Salman Akram Raja, Arslan Riaz, Malik Bashir Ahmad Khalid, Khalil ur Rehman, Mian Mehmood Rashid, Mrs. Roohi Saleh, Moiz Tariq, Kashif Rafiq Rajwana, Shakeel Ahmad Basra, Haider Ali Chohan, Majid Ali, Ch. Umer Hayat Kamran Rajoka, Muhammad Saqib Badar, Muhammad Naveed Amjad, Mian Zulfiqar Ali, Nadeem Shehzad Hashmi, Islam Khan, Usman Ali Bhoon, Riasat Noor Zaman, M.A. Rizwan Kamboh, Muhammad Usman Sheikh, Ashiq Ali Rana, Mustafa Kamal, Syed Alamdar Hussain, Hamida Haq, Malik Zahid Manzoor Awan, Ch. Babar Waheed, Faisal Anwar Minhas, Rana Sajid Rasool and Syed Kamal Ali Haider, Advocates.
RESPONDENTS BY:	M/s Haris Azmat and Maryam Hayat, Advocates for SNGPL. M/s Ahmad Pervaiz and Schehrazade Shahryar, Advocates for OGRA. Mr. Asad Ali Bajwa, Deputy Attorney General for Pakistan with Imran Javed, Deputy Chief Officer Law, SNGPL.

Shahid Karim, J:- This judgment will also decide connected petitions (Annexure ‘A’ to this judgment) involving an identical challenge. While these cases present the same threshold legal questions, their factual contexts differ.

2. This litigation has a common thread and brings a challenge to the revision in additional security by Sui Northern Gas Pipelines Ltd. (SNGPL) and for the purpose separate notices (“**The Impugned Notices**”) have been served upon the petitioners based upon

average consumption in MMBTU per month. This is based on average bill including taxes for 30 days consumption of RLNG at the rate mentioned in those notices which according to the learned counsel for the petitioners translates to a certain amount in US\$ which is actually not the price ultimately being paid by the petitioners. It is alleged in the impugned notices that the petitioners have furnished lesser amount of bank guarantee as security amount and additional security is required (of varying amounts).

3. In a decision taken by the Cabinet of the Federal Government in its meeting held on 27.09.2018, the summary dated 26.09.2018 submitted by the Cabinet Division for ratification of the decisions taken by the Economic Coordination Committee (ECC) of the Cabinet was approved by para 2 of the summary which provides that:

The ECC of the Cabinet in its meeting held on 17.09.2018 vide case No.ECC-86/17/2018 dated 17.09.2018 (Annex-I) while considering a Summary on 'Natural Gas Sale Pricing' Inter-alia directed as under:-

iii) Gas supply to the industrial sector (exporters of five zero-rated sectors namely; textile (including jute) carpets, leather, sports and surgical goods in Punjab will be revised from 28:72 to 50:50 for domestic gas and RLNG respectively. The weighted average gas tariff of such consumers shall be USS6.5 per MMBTU. Gas price of similar consumers of SSGC and those of SNGPL in Khyber Pakhtunkhwa will remain unchanged.

iv) The priority of allocation of system gas will be revised to bring the five zero-rated sectors at second priority alongwith the power sector.

2. Oil & Gas Regulatory Authority (OGRA) on 04.10.2018 notified the revision in gas sale prices and the tariff for zero-rated industry operating on indigenous gas across the country has been notified as Rs.600 per MMBTU while the zero-rated industry operating on RLNG or mix in Punjab are to be changed USS 6.5 per MMBTU. The OGRA determined tariff for sale of RLNG for the month of November, 2018 in USS 12.7292 per MMBTU."

4. The petitioners are the beneficiaries of the decision taken by the Cabinet in its meeting held on 27.09.2018 and comprised zero-rated industries operating on RLNG in Punjab and are being supplied subsidized rate of natural gas/ RLNG pursuant to the decision of the Cabinet. This was different from the gas sale price notified by the Oil & Gas Regulatory Authority (OGRA) on 4.10.2018 which had determined the tariff for sale of RLNG at the rate of US\$ 12.7292 per MMBTU. It seems that this arrangement continues and the decision of the Cabinet of the Federal Government was in terms of sub-section (3) of section 8 of the OGRA Ordinance, 2002. There is no quarrel that the parties entered into contractual arrangements which, amongst others, provided that security deposit shall be made by the consumer in terms of clause 2 of the terms and conditions of an agreement (**“The First Agreement”**) which reads as under:

“Consumer, before or at the time of the execution of this Contract shall furnish to the Company a “Security Deposit” in form of cash deposit equivalent to 21 days of Consumer’s contractual load or bank guarantee (from any of the banks acceptable to the Company in accordance with the enclosed format) equivalent to 30 days of Consumer’s contractual load or in any other form equivalent to a certain period of RLNG consumption as approved and offered by the Company from time to time, inclusive of meter rent and all Government taxes applicable on RLNG sale. The security if deposited in the form of cash will entitle the Consumer to earn interest at the rate fixed by the company from time to time, adjustable against outstanding bills on periodic basis. If during the course of this Contract the Security Deposit, in the sole discretion of the company, is insufficient and is not equivalent to the option offered by the Company, then the Company may by notice to the Consumer increase the Security Deposit and upon such notice, the Consumer shall become liable to forthwith pay the increased amount or furnish a bank guarantee for the increased amount to the Company, within the stipulated time. The Company may suspend the RLNG supply to the consumer in case of its failure to

maintain the required Security Deposit. ”

5. Consequently further agreements were executed between the parties since the Government of Pakistan had informed SNGPL that it had decided to import LNG to meet local requirements and in this regard it was necessary to execute LNG sale and purchase agreements with Pakistan State Oil Company Ltd. (PSO) as the designated buyer. One such agreement was executed between SNGPL and Ghazi Fabrics International Ltd. which was taken as the baseline agreement, on which the parties addressed their arguments. The agreements with the rest of the petitioners are on similar lines. Learned counsel for SNGPL heavily relied upon clauses 9 and 10 of the subsequent agreement (**“The Second Agreement”**) dated 21.11.2016 which provide that:

“9. The security shall be maintained during the supply period, the amount of the security deposit may be varied by SNGPL from time to time by notice to the Buyer in the event of a change in SNGPL policy regarding the same or the Notified Price and on notice of such variation Buyer shall within three (3) Days deposit any additional amount required to be provided as security. In the event that the Buyer fails to pay any amount payable to the Seller when due, the Seller shall be entitled to withdraw RLNG Supply and collect such amounts from the security.

10. Following any change in the consumption pattern or Notified Price or Taxes or Meter rent the security deposit will be liable to be adjusted to take account of such change within three (3) Days of SNGPL notifying such change to the Buyer. Such security deposit shall be maintained for a period of at least one (1) Month following the expiry or earlier termination of this Agreement. SNGPL shall have the right to set off and adjust from the amount of the security deposit any amounts ascertained by SNGPL as due from the Buyers to SNGPL on any account whatsoever and shall inform the Buyer regarding such adjustment. ”

6. An outstanding feature of this agreement is, firstly, that it was executed much prior to the price subsidized by

the Cabinet in its decision on 27.09.2018. Doubtless, the petitioners must have furnished security in terms of clauses 9 and 10 as SNGPL has not based its case on the fact that this agreement was breached by the petitioners who had not maintained the amount of security during the supply period. It also mentions that the amount of security deposit may be varied by SNGPL from time to time by notice to the buyer in the event of change in SNGPL policy regarding same or the Notified Price. Thus, by the terms of clause 9 itself two conditions must precede the notice of demand for a revision in additional security.

7. Firstly, it must be done in the event of a change in SNGPL policy. No such policy has been relied upon nor has it been placed on record by SNGPL. It is otiose to state that any policy of SNGPL must be based on a decision taken by the Board of SNGPL and cannot be done unilaterally by some officers whose source of authority is clearly doubtful. When we square the impugned notices with this clause, it becomes abundantly clear that the impugned notices merely state that the revision in additional security has been made as per approval received from the management. The term “management” has not been elaborated upon nor any further documents have been produced which would show any policy decision to have been taken by the Board of SNGPL. Secondly, clause 9 refers to Notified Price which in terms of clause 4 of the agreement is the RLNG tariff as determined and notified by OGRA. In the instant cases, the RLNG tariff notified by OGRA is

not the Notified Price and which has now been upended by the decision taken by the Cabinet of the Federal Government by which the petitioners are being supplied gas at subsidized rates. Thus, the decision of the Cabinet has modified not only the Notified Price determined by OGRA but also in many ways the contractual obligations between the parties arising out of the first and the second agreements. The issue in these petitions will have to be resolved in the changed circumstances due to the intervention of the Federal Government in varying and modifying the Notified Price determined by OGRA. This was definitely done with a purpose by the Federal Government and according to the learned counsel for the petitioners, the demand for additional security would nullify the benefit which is sought to be handed out to the petitioners and which ultimately translates into higher earning of foreign exchange by the country.

8. An extract of the minutes of the meeting of Board of Directors held in December, 2017 has been relied upon by the petitioners and not disputed by SNGPL and the following decision was taken in the meeting:

“We give below the extract of para 8.5 from the draft minutes of the 500th meeting of the Board of Directors, held on December 18, 2017:

“After due deliberation, the Board of Directors accorded approval that RLNG based industrial and commercial consumers to provide SBLC or Cash security equivalent to 30 days of gas supply subject to weekly billing”

You are requested to proceed further accordingly and comply with the directions of the Board of Directors in letter and spirit. ”

9. An important plank of the decision was the approval by the Board of Directors that RLNG based

industrial and commercial consumers shall provide SBLC or cash security equivalent to 30 days of gas supply subject to weekly billing. This came about as a result of an arrangement by SNGPL and APTMA. The decision says no more and merely requires the RLNG based commercial consumers to provide SBLC equivalent to 30 days of gas supply. This is being done by the petitioners and it nobody's case that the petitioners have not done so in view of the decision of the Board of Directors. Although there was a paradigm shift in the value of gas being supplied to the petitioners after the decision of the Cabinet on 27.09.2018 but the fact remains that the Board of Directors has not reviewed its decision regarding provision of SBLC or its enhancement. The impugned notices have merely been issued on the directions of management whose contours have not been mentioned in the impugned notices and it can therefore be inferred that the requirements of clause 9 and 10 have not been fulfilled. To reiterate, the Notified Price is not the price which is being paid by the petitioners and has been scaled down by the decision of the Cabinet of the Federal Government which subsidizes the rate of supply of gas to the petitioners. It goes without saying that the price has been scaled down considerably and so the security provided by the petitioners was on the higher side prior to the decision regarding subsidized supply of gas to the petitioners. A higher rate was being paid on the supply of gas as value for gas and on which the petitioners were required to provide an amount of security. That security which is held by SNGPL is a higher amount of security

than the current security which is liable to be calculated on the value of supply which is actually payable by the petitioners at the rate of US\$ 6.5. Thus, the twin conditions mentioned in clause 9 and 10 have gone abegging and do not bring the case of SNGPL within the ambit of those terms of the agreement. By the intervention of the Federal Government to provide subsidized gas to the petitioners the condition regarding Notified Price and the value at which it has to be supplied to the petitioners has been subsumed by the price determined by the Federal Government and to that extent SNGPL is not at will to vary the conditions of security deposit.

10. Much emphasis was laid by learned counsel for SNGPL on the office memorandum dated 23.12.2020 which provides that:

"I am directed to refer to the decision of Economic Coordination Committee (ECC) of the Cabinet in case No.ECC-434/59/2020 dated 02.12.2020, and communicate that FBR has no objection to allowing concessionary rate on supply of electricity/gas to 4,084 taxpayers (Annex-A), who were availing zero-rating of sales tax on supply of utilities in terms of rescinded SRO.1125(I)2011 and their particulars existed in various STGOs issued in this regard, as on 30.06.2019 and are presently appearing on FBR's Active Taxpayers List (ATL) ([HYPERLINK "https://e.fbr.gov.pk/atlsearchutility.aspx"](https://e.fbr.gov.pk/atlsearchutility.aspx) <https://e.fbr.gov.pk/atlsearchutility.aspx>).

2. I am further directed to say that FBR shares monthly ATL list with DISCOs/Gas Companies every month. Utility companies may, therefore, be directed to ensure that concessionary utility tariff is accorded to only those manufacturers taxpayers that appear on the ATL while generating monthly electricity/gas bills. This is necessary to safeguard the interest of the national exchequer."

11. This office memorandum has been issued by FBR and refers to the decision of ECC and the concessionary rate on which the export oriented industries are being

allowed concessionary rates. In paragraph 2 of the office memorandum it further notes that FBR shares monthly Active Taxpayers List (ATL) with gas companies every month and that the gas companies were requested to ensure that the concessionary utility tariff is accorded to only those tax payers that appear on the ATL while generating monthly gas bills. It is common ground that ATL is shared with SNGPL at the end of a month and which enables SNGPL to generate its bills for the next month on either the concessionary rates or on the full rates as the case may be. A related argument on the basis of the office memorandum made by counsel for SNGPL was that SNGPL would be made to suffer enormously if the security deposit was not enhanced to cover the default by a taxpayer that is no more on the ATL. Suffice to say that this arguments has no currency and cannot prosper. The bill generated in respect of the petitioners is on presumptive rate and is based on the past consumption of gas by a particular consumer. This aspect has been dealt with by this Court in an earlier judgment which was cited for different reasons by the counsel for SNGPL but is relevant to understand and rebut the argument put forth by counsel for SNGPL regarding losses to SNGPL on account of non payment of additional security. The following observations by this Court are relevant which may be reproduced as under:

“4. I have heard the learned counsel for the parties. It is not in dispute between the parties that the bills for the payment of gas charges is being remitted to the petitioners one week in advance and is based on the utilization by each petitioner on previous occasions which has been taken as a benchmark for sending the future weekly bills to the petitioners. At

first blush, the arrangement seems to be odd but the learned counsel for SNGPL has brought forth in the parawise comments on behalf of SNGPL the reason for this arrangement and which can be traced to correspondence exchanged between All Pakistan Textile Mills Association (APTMA) and the SNGPL. In this regard, in one of the letters dated 7.3.2017, SNGPL informed APTMA as follows:-

“During this year’s winter season, the SNGPL has managed to deliver the uninterrupted gas supply to our valued industrial consumers by purchasing RLNG from PSO and in future, also committed to continue the same. In this context, you are well aware of the fact that SNGPL has to fulfil time bound payment commitments to PSO against RLNG. PSO issues invoices to SNGPL immediately after offloading of vessel. Currently, billing to industry including textile sector is being carried out on fortnightly basis payment against which becomes due after three days resulting in credit period of 15 days. This creates mismatch between payment terms and results in severe cash flow constraints for company to fulfil our commitments towards payment of RLNG to PSO.”

5. This was reiterated in letters to All Pakistan Textile Processing Mills Association and All Pakistan CNG Association. In response APTMA in its letter dated 21.3.2017 confirmed that it was agreeable to the following arrangement:-

1. *“Increase in security of the industry solely on the basis of current RLNG prices is unjust keeping in view supply mix of RLNG and System gas. We suggest that weighted average cost of gas of previous three months’ bills be used in the calculation.*

2. *From April 1, 2017, industry shall receive 4 bills at start of each month so previous formula of adjusting bank guarantee as gas security in two and three billing cycles in case of cash payment and bank guarantee respectively will no longer remain applicable. It is requested to adjust them according to the following formula:*

- A. *Three billing cycles (21 days) on actual consumption basis, if paid in cash.*
- B. *Four billing cycles (28 days) on actual consumption, in case of bank guarantee.*

3. *Notes for additional security be withdrawn and amended notice as submitted above be issued to process the additional security within 90 days.”*

6. *It can be seen from APTMA’s reply that it agreed to receive 4 bills at the start of each month commencing April, 2017 among other. This was reiterated in the email by APTMA to all its members in which the formula agreed upon by APTMA was mentioned for the information of all its members. Therefore, as far as the petitioners who are textile mills and are members of APTMA, the arrangement was agreed upon by the representative association with the SNGPL and the members are clearly and*

without doubt bound by the arrangement so arrived at between APTMA and SNGPL.

7. *As explicated similar letters were written to All Pakistan Textile Processing Mills Association as well as to All Pakistan CNG Association and the members of these associations are also complying with the said formula. It the case of SNGPL that the industry is now being supplied with RLNG and locally produced gas is only being supplied to domestic consumers and, therefore, since the arrangement for the supply of RLNG is unique and is based on different formula, it necessitated SNGPL to initiate a distinct billing pattern with the industrial consumers. Also that the bills are being remitted on the basis of past consumption and in case the consumption varies in any of the consumers the adjustment is allowed at the end of the month while reconciling the actual consumption with the payment made by the consumer.*

12. The portion of the judgment passed by this Court in W.P.No.61458 of 2017, *Shadman Cotton Mills Ltd. etc. v. Sui Northern Gas Pipelines Ltd. etc.*, sets out the arrangement between a representative body of the petitioners and SNGPL regarding the payment of gas charges and remitting of bills presumptively. The correspondence and missives between SNGPL and APTMA have also been referred and which culminated in an agreement which was encapsulated in the letter of APTMA dated 21.3.2017. In that letter, the increase in security for the industry solely on the basis of current RLNG prices was deprecated and it was resolved that going forward from April 1, 2017 the industry shall receive four bills at the start of each month and so the previous formulae of adjusting bank guarantee as gas security in two and three billing cycles will no longer remain applicable. This arrangement continues to this day and accordingly the petitioners receive four bills in advance for the start of each month and so there is no question of SNGPL suffering any losses on account of the name having been deleted on ATL by FBR. On the

other hand, the petitioners have furnished a security for the entire 30 days while they receive four weekly bills on presumptive basis. Certainly, in case a petitioner is not included in the ATL by FBR at the start of a billing month, SNGPL can forthwith refuse to supply gas to that petitioner unless an additional amount of security is provided. There is no compulsion on SNGPL to continue to supply gas or to generate subsidized bills even though the name of a consumer is absent from ATL. This much would be clear to SNGPL at the end of the previous month and so would inform any decision to be made by SNGPL. By way of illustration, a number of consumers brought petitions before this Court challenging acts of SNGPL in requiring them to pay full amount of value of supply of gas on the basis of ATL issued by FBR at the end of the prior month, since their names were not in that list. This is an effective tool in the hands of SNGPL. The act of SNGPL of requiring the provision of additional security from the petitioners would only work discriminately and would unjustly enrich SNGPL to the detriment of the petitioners. This would be tantamount to taking away the benefit which has been handed out to the petitioners by the Government of Pakistan and the petitioners would be left to supply bank guarantee for the amount of subsidy being given to them at concessionary rate of supply of gas pursuant to the decision of the Cabinet.

13. The arguments in this Court by counsel for SNGPL in the first instance centered on the maintainability of these petitions. He relied upon the

judgment of this Court in W.P.No.61458 of 2017 referred above to submit that this was a matter of contractual relationship and thus unamenable to the jurisdiction of this Court. That judgment had peculiar facts and cannot be used as a precedent for denying the relief to the petitioners in the circumstances narrated in the present petitions. It is not every case of contractual relationship that bars the jurisdiction of this Court. If the matter relates to undisputed facts and has wider implications which relate to the economic life of a nation in general, this Court will not skirt its duty to exercise judicial review in the matter.

14. The issue broached in these petitions does not merely pits one consumer against SNGPL but an entire industry is in tension with SNGPL and the acts set in motion by SNGPL would necessarily have a spiral effect not only on the petitioners but also on the economy in general as the petitioners are export oriented industries and are a major source of earning of foreign exchange. Any impact on the petitioners will affect the public purse and trickle down to the general public. Thus, these petitions have a public law element inviting this Court to a searching enquiry as this Court cannot sit in a state of judicial inertia. Further SNGPL exercises sovereign function of the State, is a monopoly so far as half of the country is concerned and is a State owned public utility company and hence its actions are justiceable by this Court. Judicial review may be applied in certain circumstances to the exercise of public contractual power. Public law principles may be applied to executive

agencies such as SNGPL as it is not formally separate from its sponsoring department and also because it is engaged in public service delivery. The test being applied by courts is that the process might have a sufficient public law element irrespective of any connection with a statute or policy. Regarding contractual powers, the preponderant approach has been to regard contracts made by public authorities as subject to judicial review if there is a sufficiently “public law element” to the case. Some extracts from the treatise *Administrative Law by Paul Craig (Ninth edition)* will help to elucidate this point:

“If a public body acts pursuant to statutory or prerogative powers then its decisions will be subject to judicial review. We now consider whether a public body that exercises a contractual power is also subject to judicial review. The traditional tendency was to see contracts, even those made by public bodies, as essentially private matters. The courts have now moved away from this stance, although their attitude towards such contracts is still somewhat ambivalent. The preponderant approach has been to regard contracts made by public authorities as subject to judicial review if there is a sufficiently “public law element” to the case. This phrase can, however, be subject to different interpretations.

In Hook the cancellation of a trader’s licence was susceptible to review because the council’s powers affected a pre-existing common law right to trade in the market. The courts also held that a public body’s powers as landlord are subject to review. There is, moreover, authority that procurement decisions are capable of being judicially reviewed. Thus in Shell, the court reviewed a local authority decision not to deal with Shell, because other companies in the same corporate group had contacts with South Africa. In Donn, it was held that a legal aid committee was susceptible to judicial review when deciding to award a contract for the conduct of multi-party litigation. Ognall J held that such a case might be regarded as being within public law either because there was a statutory underpinning, or because, irrespective of any connection with a statute or policy, the process might have a sufficient public law element.”

“It is important to consider whether the idea of a “public law element”, which serves to distinguish those contracts that are subject to review, is really needed. It is clear in principle that some contracts made by public authorities ought to be susceptible to judicial review. It may be fortuitous whether the government chooses to advance its regulatory objective through statutory discretionary power, or whether it seeks to attain the same regulatory end

through a contractual relationship. The choice of method should not affect the application of public law principles...”

“This can be exemplified by Molinaro. The council leased certain land to the claimant for use as a delicatessen. The claimant started to use it as a café. The council served an enforcement notice under the planning legislation. The claimant sought a license for the new use from the council as landlord, but the council refused, notwithstanding the fact that the claimant received considerable support from local residents for use of the premises as a café. Elias J held that the council’s decision was amenable to judicial review.

The judgment can be seen in terms of the preceding analysis. Thus, Elias J acknowledged that contract cases might involve no issue of public law and judicial review would be inappropriate, even where the contract was made pursuant to a statute. Cases where, for example, the public body sued for arrears of rent raised no special public law principles and there would be no justification for treating the public body differently from private bodies. However, in this case the Council was not acting simply as a private body when it gave effect to its planning policy through contract, but was rather using the contract to effectuate its planning objectives, and this sufficed to inject a public law element into its decision. If the relevant power was abused it should be amenable to review, public bodies were given powers to be exercised in the public interest and “the public has an interest in ensuring that the powers are not abused”, more especially because contracting power enabled “a public body very significantly to affect the lives of individuals, commercial organizations and their employees.”

(For further discussion, see S. Arrowsmith, “Judicial Review and the Contractual Powers of Public Authorities.” (1990) 106 L.Q.R 277; S.H. Bailey, “Judicial Review of Contracting Decisions” [2007] P.L.444)

15. Lastly, from the facts adumbrated and the conclusions drawn above, it is clear that the issue raised in these petitions is not purely contractual but relates to the rule of law and must be judged on the basis of principles of administrative law such as irrationality and impropriety. Thus, the contention of the learned counsel for SNGPL regarding incompetence of these petitions is repelled.

16. The Supreme Court of Pakistan in a case titled Messrs Ramna Pipe and General Mills (Pvt.) Limited. Messrs Sui Northern Gas Pipe Lines (Pvt.) and others (2004 SCMR 1274) alluded to the status and role of

SNGPL which is applicable on all fours to the present cases:

“15. In the case in hand, dispute rests between two limited companies one of them is a public limited company i.e. SNGPL having the shares of the public, therefore, the authority relied upon by the learned counsel needs no discussion as it pertains to sale (Bay) between two persons and in such contract, interference by the third person has been prohibited. It may be noted that in judgment in the case of Messrs Airport Support Services v. The Airport Manager, Quaid-e-Azam International Airport, Karachi and others 1998 SCMR 2268 it has been held that a contract carrying element of the public interest is open for judicial review relevant para...”

“Above view has been reiterated by this Court in the case of Nizamuddin and another v. Civil Aviation Authority and 2 others 1999 SCMR 467. Learned counsel for Messrs Ramna in support of the proposition had also cited a good number of judgments but they need no discussion as majority of them have already been referred in the case of Messrs Airport Support Services (ibid).

16. Leaned counsel for Messrs Huffaz did not seriously object to jurisdiction of learned High Court relating to examination of a contract in exercise of powers under Article 199 of the Constitution in view of the judgments in the case of Airport Support Service (ibid). But learned counsel for SNGPL took exception against such exercise of jurisdiction by High Court and he placed reliance on TATA Cellular v. Union of India AIR 1996 SC 11. He stated that in the matters relating to execution of a contract between two limited companies, High Court ordinarily would not exercise jurisdiction under Article 199 of the Constitution of Islamic Republic of Pakistan. We are not persuaded to entertain this argument in view of law laid down in the judgments by this Court referred to hereinabove.”

17. **Petitions allowed.** Impugned Notices are set aside as being without lawful authority and of no legal effect.

(SHAHID KARIM)
JUDGE

Approved for reporting.

JUDGE

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Rafaqat Ali

ANNEXURE “A”

Sr. No.	W.P. Nos.	Title
1.	47540 of 2022	Indus Lyallpur Ltd. & 20 others v. Federation of Pakistan & others
2.	65981 of 2021	M/s. Hira Terry Mills Ltd. v. Federation of Pakistan & others
3.	34583 of 2022	ICI Pakistan Ltd. v. The Federation of Pakistan & others
4.	66989 of 2021	TATA Textile Mills Ltd. v. Federation of Pakistan & others
5.	67287 of 2021	M/s. Sitara Fabrics Ltd. & another v. Federation of Pakistan & others
6.	68076 of 2021	M/s. Dynamic Sportswear Pvt. Ltd. v. Federation of Pakistan & others
7.	68164 of 2021	M/s. Ali Barakah Industries & another v. Federation of Pakistan & others
8.	68304 of 2021	Akbar Fabric (Pvt.) Ltd. & another v. Federation of Pakistan & others
9.	68809 of 2021	Fateh Textile Industries (Pvt.) Ltd. v. Federation of Pakistan & others
10.	69012 of 2021	Quality Textile Mills Ltd. v. Federation of Pakistan & others
11.	69343 of 2021	The National Silk and Rayon Mills Ltd. v. Federation of Pakistan & others
12.	69906 of 2021	CA Textile Mills Pvt. Ltd. v. Federation of Pakistan & others
13.	70097 of 2021	Fazal Cloth Mills Ltd. v. Federation of Pakistan & others
14.	70202 of 2021	M/s. Muhammadi Processing Industries (Pvt.) Ltd. v. Federation of Pakistan & others
15.	70369 of 2021	M/s. A.Z. Apparel v. Federation of Pakistan & others
16.	70727 of 2021	M/s. Raaziq Industrial Enterprises Pvt. Ltd. v. The Federation of Pakistan & others
17.	76488 of 2021	The National Silk and Rayon Mills Ltd. v. Federation of Pakistan & others
18.	77574 of 2021	Margalla Textile Mills Ltd. v. Federation of Pakistan & others
19.	76472 of 2021	M.K. Sons (Pvt.) Ltd. v. Federation of Pakistan & others
20.	1676 of 2022	Khalid Nazir Spinnings Ltd. v. Federation of Pakistan & others
21.	70965 of 2021	M/s. Balochistan Glass Ltd. v. Federation of Pakistan & others
22.	68247 of 2021	Nimra Textile (Pvt.) Ltd. & 5 others v. Federation of Pakistan & others
23.	67374 of 2021	Three Star Hosiery Mills (Pvt.) Ltd. & 2 others v. Federation of Pakistan & others
24.	66827 of 2021	M/s. Hira Textile Mills Ltd. & 4 others v. Federation of Pakistan & others

25.	67136 of 2021	M/s. Bright Industries (Pvt.) Ltd. v. Federation of Pakistan & others
26.	67143 of 2021	M/s. Chaman Processing Industries (Pvt.) Ltd. v. Federation of Pakistan & others
27.	69309 of 2021	Al-Hamd Corporation (Pvt.) Ltd. & 5 others v. The Federation of Pakistan & others
28.	71286 of 2021	Ali Akbar Spinning Mills Ltd. & 4 others v. Federation of Pakistan & others
29.	75850 of 2021	Shahbaz Garments (Pvt.) Ltd. v. The Federation of Pakistan & others
30.	3953 of 2022	Shadab Textile Mills Ltd. & another v. Federation of Pakistan & others
31.	4416 of 2022	Prosperity Weaving Mills Ltd. & another v. Federation of Pakistan & others
32.	6661 of 2022	M/s. H.A. Fibres (Pvt.) Ltd. & 2 others v. Federation of Pakistan & others
33.	7024 of 2022	M/s. Hussain Mills Ltd. & 2 others v. Federation of Pakistan & others
34.	4629 of 2022	M/s. Rupali Polyster Ltd. & another v. Federation of Pakistan & others
35.	4735 of 2022	Ravi Spinnings Ltd. v. Federation of Pakistan & others
36.	4734 of 2022	M/s. Balochistan Glass Ltd. v. Federation of Pakistan & others
37.	8160 of 2022	M/s. Sitara Fabrics Ltd. v. Federation of Pakistan & others
38.	8302 of 2022	Abdur Rehman Corporation Pvt. Ltd. v. Federation of Pakistan & others
39.	8537 of 2022	M/s. Hira Textile Mills Ltd. & another v. Federation of Pakistan & others
40.	8852 of 2022	Ali Akbar Spinnings Mills v. Federation of Pakistan & others
41.	10582 of 2022	M/s. Shahkam Industries Pvt. Ltd. v. Federation of Pakistan & others
42.	11006 of 2022	Marral Textile Mills Ltd. v. Federation of Pakistan & others
43.	12013 of 2022	Sitara Peroxide Ltd. v. Federation of Pakistan & others
44.	24034 of 2022	Madina Cotton Mills Ltd. v. Federation of Pakistan & others
45.	26684 of 2022	Three Star Hosiery Mills (Pvt.) Ltd. v. Federation of Pakistan & others
46.	30358 of 2022	Zafar Fabrics (Pvt.) Ltd. v. Federation of Pakistan & others
47.	33198 of 2022	M/s Cotton Web Ltd. v. Federation of Pakistan & others
48.	36504 of 2022	M/s. Aruj Garments v. Federation of Pakistan & others
49.	37824 of 2022	M/s. Mughal Iron & Steel v. Federation of Pakistan & others
50.	49749 of 2022	M/s. Arif Mahmood Malik Small Industries v. Federation of Pakistan & others
51.	36278 of 2022	M/s. Kohinoor Textile Mills Ltd. v. Federation of Pakistan & others

52.	39858 of 2022	CA Textile Mills Pvt. Ltd. & 2 others v. Federation of Pakistan & others
53.	39852 of 2022	Rafique Fabrics Pvt. Ltd. & 4 others v. Federation of Pakistan & others
54.	26157 of 2022	Five Star Textile Industries Pvt. Ltd. v. Federation of Pakistan & others
55.	26177 of 2022	M/s. Noor Fatima Fabrics (Pvt.) Ltd. v. Federation of Pakistan & others
56.	49227 of 2022	M/s. Chaudhary Processing Industries & 2 others v. Federation of Pakistan & others
57.	46597 of 2022	Nishat Mills Ltd. & 3 others v. Federation of Pakistan & others
58.	46810 of 2022	Madni Deyng & Printing Mills & another v. Federation of Pakistan & others
59.	47337 of 2022	Sareena Textile Industries (Pvt.) Ltd. & 4 others v. Federation of Pakistan & others
60.	47443 of 2022	M/s. Reshma Tex. Ltd. & 2 others v. Federation of Pakistan & others
61.	47498 of 2022	M/s. Opera Textile Mills (Pvt.) Ltd. & 2 others v. Federation of Pakistan & others
62.	47554 of 2022	M/s. Ali Textile Mills & another v. Federation of Pakistan & others
63.	47649 of 2022	Kausar Processing Industries (Pvt.) Ltd. & another v. Federation of Pakistan & others
64.	47832 of 2022	Prosperity Weaving Mills Ltd. v. Federation of Pakistan & others
65.	49104 of 2022	Rupafil Ltd. & another v. Federation of Pakistan & others
66.	49336 of 2022	Noor Fatima Textile & another v. Federation of Pakistan & others
67.	49402 of 2022	Zafar Fabrics (Pvt.) Ltd. v. Federation of Pakistan & others
68.	49525 of 2022	Tauseef Enterprises (Pvt.) Ltd. v. Federation of Pakistan & others
69.	49797 of 2022	Muhammad Furqan v. The Federation of Pakistan & others
70.	50248 of 2022	M/s. Cotton Web Ltd. v. Federation of Pakistan & others
71.	43094 of 2022	Delta Garments Ltd. & 6 others v. Federation of Pakistan & others
72.	47321 of 2022	M/s. Lahore Deyng and Printing Mills Ltd. v. Federation of Pakistan & others
73.	7821 of 2022	AN Textile Mills Ltd. v. Federation of Pakistan & others
74.	7304 of 2022	The National Silk and Rayon Mills Ltd. & another v. Federation of Pakistan & others
75.	5191 of 2022	Quetta Textile Mills Ltd. & 12 others v. Federation of Pakistan & others
76.	7493 of 2022	M/s. A.Z. Apparel & another v. Federation of Pakistan & others
77.	7960 of 2022	Akbar Fabrics Pvt. Ltd. v. Federation of Pakistan & others
78.	11826 of 2022	Magna Textile Industries Ltd. & another v. Federation of Pakistan & others

79.	4427 of 2022	Crescent Cotton Mills Ltd. & another v. Federation of Pakistan & others
80.	98 of 2022	Hassan Ltd. v. Federation of Pakistan & others
81.	6278 of 2022	Shujabad Weaving Mills Ltd. v. Federation of Pakistan & others
82.	66824 of 2021	M/s. Ellcot Spinning Mills Ltd. & 29 others v. Federation of Pakistan & others
83.	5644 of 2022	M/s. Colony Textile Mills Ltd. v. Oil & Gas Regulatory Authority & others
84.	67329 of 2021	Masood Textile Mills Ltd. & 20 others v. The Federation of Pakistan & others
85.	60356 of 2022	M/s. Riaz Fabrics Pvt. Ltd. v. Federation of Pakistan & others

(SHAHID KARIM)
JUDGE

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Rafiqat Ali